2. Walking or Trotting Inflation

Price rise moderately at the rate of 3 to 7 per cent (or) less than 10 per cent is called walking or trotting inflation. It is a warning signal to the government to be prepared to control inflation. If the inflation crosses this range, it will have serious implications on the economy and individuals.

3. Running Inflation

Running inflation means price rise rapidly like the running of a horse at a rate of 10–20 per cent. It affects the economy adversely.

4. Hyperinflation (or) Runaway (or) Galloping Inflation

The price rise at very fast at double or triple digit rate from 20 to 100 per cent or more is called Hyperinflation (or) Runaway (or) galloping inflation. Such a situation brings total collapse of the monetary system because of the continuous fall in the purchasing power of money.

Different Inflations Based on Causes

Based on causes inflation is classified into different types.

1. Demand Pull Inflation

Demand pull inflation arises due to higher demand for goods and services over the available supply. Higher demand for goods and services arises due to increase in income of the people, increase in money supply and change in the taste and preference of people etc. In other words, demand pull inflation takes place when increase in production lags behind